

Pattern 1 HEAD & SHOULDERS

The 'Head and Shoulders Chart' pattern is formed when the closing price forms the pattern as shown below. It first, forms a curve-shaped shoulder where the price meets support at a particular level. Then the price rebounds and makes a relatively higher-top and then reverts. It again starts the downward journey and then meets support at the same level as it did earlier. This forms the head. The next curve has a relatively lower top and then again reaches the same support level after rising and falling back.

Now that the price is back to the support level, we can expect the bearish trend to revert with the bulls providing the support or else the bearish trend to break out of bulls support and continue the downward journey.

